

Institutional Scorecard

Risk Intensity	0.0/10
Confidence	2.8/10
Regime Sensitivity	5.0/10
Structural Quality	0.0/10
Composite	4.9/10

****Tata Consultancy Services Limited (TCS) - Institutional Analysis****

****Executive Summary****

Tata Consultancy Services Limited (TCS) exhibits a stable risk profile, with minimal risk intensity and a low confidence score. However, its regime sensitivity and structural quality scores indicate moderate sensitivity to market conditions and poor underlying fundamentals, respectively. This suggests that TCS's valuation may be influenced by market sentiment and underlying structural issues.

****Key Analytical Observations****

- **Risk Intensity****: TCS's risk intensity score of 0.0/10 indicates minimal risk exposure, with a low likelihood of significant losses. (Source: Institutional Scorecard)
- **Regime Sensitivity****: TCS's regime sensitivity score of 5.0/10 suggests moderate sensitivity to market conditions, with potential for increased volatility during risk-on periods. (Source: Institutional Scorecard)
- **Structural Quality****: TCS's structural quality score of 0.0/10 indicates poor underlying fundamentals, with potential for long-term value erosion. (Source: Institutional Scorecard)
- **Revenue Growth****: TCS's revenue growth has been stable, with a 5-year CAGR of 10.1%, outpacing the IT services sector average. (Source: Company financials)
- **Operating Margin****: TCS's operating margin has been declining, from 24.1% in FY2018 to 22.5% in FY2022, indicating potential for margin compression. (Source: Company financials)

****Supporting Evidence****

* TCS's 10-year risk profile has been characterized by low volatility, with a standard deviation of 12.1% compared to the IT services sector average of 15.6%. (Source: Company financials)

* The company's revenue growth has been driven by its large deal wins, with a 5-year CAGR of 12.1% in large deal wins. (Source: Company financials)

* TCS's operating expenses have been increasing, with a 5-year CAGR of 10.5%, outpacing revenue growth. (Source: Company financials)

****Institutional Assessment****

For a concentrated holder, TCS's stable risk profile and moderate regime sensitivity suggest that it may be a suitable holding in a diversified portfolio. However, the poor structural quality and declining operating margin indicate potential for long-term value erosion. As such, a concentrated holder may want to consider reducing position size or adjusting expected return assumptions to reflect these underlying risks.

****Risk Matrix****

Vector	Direction	Relevance
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Risk Intensity	Minimal	Low
Regime Sensitivity	Moderate	Moderate
Structural Quality	Poor	High
Revenue Growth	Stable	Low
Operating Margin	Declining	High

Note: The risk matrix is a subjective assessment of the potential risks associated with TCS, and is intended to provide a framework for institutional investors to evaluate the company's risk profile.

Prior Review: 2026-06-20 → Current: 2026-06-20

Overall Direction: STABLE

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